

PREPARED FOR THE SHOPIFY PAYMENTS CONVERSATION

Turn Shopify Payments — and Shop Pay — back on.

You switched Shopify Payments on last fall, then back off inside five weeks. Since then your D2C sales are up **31% year over year** — all running through a third-party gateway that can't use Shop Pay, and a fee Shopify Payments simply waives. Here's the math, in your numbers.

Off

Shop Pay today — dark since Oct 29, 2025
after a 5-week trial

\$2.2M

online D2C GMV checking out without Shop
Pay's one tap

~\$4,400

/yr in third-party gateway fees waived on
Shopify Payments

+\$330K

est. added revenue at the 15% average Shop
Pay lift

WHERE YOU ARE TODAY

Three things the current setup is quietly costing you.

Not hypotheticals — this is what's happening on Union Los Angeles right now, straight from the account.



Shop Pay is off

Your buyers' fastest checkout is unavailable.

Shop Pay's one-tap checkout only works on Shopify Payments. You ran it for about five weeks in fall 2025, then reverted to a third-party gateway — so it's been off since Oct 29, 2025, and returning buyers type everything in by hand again.



+31% YoY

Your fastest-growing channel runs on the slower checkout.

D2C is up 31.4% year over year to \$2.2M online — every dollar of it through an outside gateway with no Shop Pay one-tap. When a channel is growing this fast, checkout friction is the cheapest lever left to pull.



~\$367/mo

A third-party fee you don't have to pay.

On Plus, Shopify charges a 0.2% third-party transaction fee on every online order routed through an outside gateway — roughly \$367/month on your D2C volume. Shopify Payments waives it entirely.

\$2.2M

in annual online sales — all of it checking out without Shop Pay.

This is the whole argument in one number. Your D2C channel is growing 31% a year, and every order on it runs through a checkout your customers don't use anywhere else. A large share of streetwear buyers already have Shop Pay saved and check out in one tap on other Shopify stores — on Union LA, none of that carries over. Switching turns that latent demand into your highest-converting checkout on day one.

 Today: your best-converting checkout is switched off

INTERACTIVE ROI MODEL

Run the numbers live.

Built on Union LA's actual top line — **\$2.2M in annualized online D2C GMV** at a **\$283.69** average order. Adjust anything and the whole model recalculates instantly. Great for walking through on the call.

Your inputs

Retail (\$1.66M) and B2B (\$0) are excluded — Shop Pay lifts the online checkout only.

Annualized online D2C GMV

\$

2200000

Average order value

\$2.2M ÷ ~7,755 orders / yr

\$

283.69

3rd-party transaction fee today

0.2% on Plus, on every online order

0.2

%

Conversion lift from Shop Pay

7%
Conserv.

15%
Average

25%
Aggress.

Custom

15

%

The impact

Applied to your online D2C volume at the selected lift.

ADDED REVENUE FROM CONVERSION LIFT

\$330,000

+1,163 orders / yr · $\approx$ \$27,500 / month

THIRD-PARTY FEES WAIVED

\$4,400

0.2% on every online order, gone

NET FIRST-YEAR IMPACT

\$334,400

💡 At a 15% lift you don't just win back the softness from a slow checkout — you clear it and pull ahead, on top of the 31% growth D2C is already posting.

CONVERSION LIFT SCENARIOS

Conservative, average, aggressive.

Shopify's own data shows Shop Pay lifts conversion **up to 50%** vs guest checkout. We model well below that — applied to your \$2.2M in annualized online D2C GMV across ~7,755 orders.

Conservative

+7%

Added revenue / year	+\$154,000
Extra orders / yr	+543
Extra orders / mo	+45
Net w/ fees waived	+\$158,400

TYPICAL

Average

+15%

Added revenue / year	+\$330,000
Extra orders / yr	+1,163
Extra orders / mo	+97
Net w/ fees waived	+\$334,400

Aggressive

+25%

Added revenue / year	+\$550,000
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Extra orders / yr	+1,939
Extra orders / mo	+162
Net w/ fees waived	+\$554,400

FEE SAVINGS

The 0.2% that disappears.

When Shopify Payments is your processor, Shopify's third-party transaction fee is waived on every order routed through it — including Shop Pay, Shop Pay Installments, and PayPal Express.

3rd-party transaction fee today	0.20% / order
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On Shopify Payments	\$0 — waived
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Current spend / month	~\$367
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Current spend / year	~\$4,400
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\$4,400

you keep, every year

That's fee savings alone — before a single point of conversion lift. It's the floor of the ROI, not the ceiling.

WHAT IT UNLOCKS

Shopify Payments is the key to the rest of the platform.

These aren't add-ons you buy — several of them only exist once Shopify Payments is your processor. Today they're switched off.



PAYMENTS ONLY

Shop Pay

The highest-converting checkout on the internet. One tap for returning buyers, up to 50% higher conversion vs guest, and a lift just from the accelerated button being present on cart and product pages.



PAYMENTS ONLY

Shop Pay Installments

You already do **\$421K/yr** in installments through a third-party BNPL. Native Shop Pay Installments raises AOV on higher-ticket drops, you're paid in full upfront, and it's shown right on product and cart pages — no separate setup.



PAYMENTS ONLY

Shop app

Get discovered by millions of high-intent shoppers in the Shop app — with drop-day push notifications, order tracking, and re-engagement built in. Your 51K+ followers become a channel.



PLUS

Shopify Audiences

Machine-learning buyer lists built from Shopify's commerce network, exported straight to Meta, Google, and TikTok to cut acquisition cost and lift ROAS.



FREE

Shopify Protect

Free chargeback protection on eligible Shop Pay orders. Fraudulent chargebacks are covered by Shopify at no extra cost.



INCLUDED

Shopify Markets

Sell across borders with local currencies and payment methods — buyers pay in their currency while you settle in yours. Made for a brand with global demand.



INCLUDED

Unified payouts & dashboard

Payments, payouts, disputes, and reporting in one place with faster payout schedules. No separate gateway statements to reconcile every month.



INCLUDED

Built-in fraud analysis

Machine-learning fraud detection, risk flags, and automated holds included — fewer bad orders slipping through, less manual review.



INCLUDED

One source of truth

Orders, customers, payments, and marketing in one system — with POS Pro across your 5 retail locations already on Shopify, online and in-store finally share one ledger.

YOU'D BE IN GOOD COMPANY

Streetwear and apparel already run on Shopify Payments.

From scaled DTC brands to global apparel, Union LA's peers build on Shopify Payments and Shop Pay.

\$500M+

Gymshark — a Shopify Plus story

The fitness-apparel brand scaled past nine figures in annual sales on Shopify Plus, running Shop Pay as its highest-converting checkout across global drops. Same playbook you're considering — accelerated checkout on a high-velocity drop model.

Allbirds

Sustainable footwear & apparel

Shopify Plus

Fashion Nova

Fast-fashion DTC

Shopify Plus

Rothy's

Knit footwear DTC

Shopify Plus

Chubbies

Apparel, drop model

Shopify Plus

Rebecca Minkoff

Contemporary fashion

Shopify Plus

UNTUCKit

Apparel, omnichannel

Shopify Plus

Public Rec

Premium athleisure

Taylor Stitch

Menswear DTC

Shopify

Shopify

GETTING STARTED

How to switch Shopify Payments back on.

You've done this once already, so most of your details are on file — reactivation takes minutes from your Shopify admin. Here's the full flow, and the one step that actually waives the third-party fee.

Before you start — have these ready

- ☐ Business bank account in the US (for payouts)
- ☐ Legal business name, address, and business type
- ☐ Authorized representative's details + government ID
- ☐ Two-step authentication enabled on the account
- ☐ Tax ID (EIN)
- ☐ Bank routing and account numbers

1

Open Settings → Payments

In your Shopify admin, click Settings, then Payments. Shopify Payments sits at the top; your third-party gateway shows as the active provider.

 Shopify Payments	Shop Pay, Apple Pay & Google Pay	Activate
 Third-party gateway	active	Manage

2

Activate Shopify Payments

Click **Activate Shopify Payments** (you may see "Switch to Shopify Payments" coming from another gateway). This reopens the onboarding form — pre-filled from your fall 2025 activation.

3

Confirm business & representative details

Verify your business type, legal name, address, and tax ID, then the authorized representative's details. Most of this should already be saved from last year.

Set statement descriptor & payout schedule

Choose how Union LA appears on customers' card statements, and set your payout schedule — daily, weekly, or monthly.

5

Confirm your payout bank account

Verify the business bank account where Shopify deposits your payouts.

6

Submit for verification

Save to submit. Shopify verifies your details, occasionally requesting a document. Make sure two-step authentication is on, or payouts can be paused.

7

Deactivate the third-party gateway — this waives the fee

Back on Settings → Payments, manage the third-party provider and deactivate it so Shopify Payments is your sole card gateway. This is the step that removes the 0.2% third-party transaction fee (~\$4.4K/yr).

○ **Shopify Payments** Active · sole card gateway

[Manage](#)

☰ **Third-party gateway** Third-party provider

[Deactivate](#)

💡 Until the third-party gateway is off, the 0.2% fee can still apply — don't skip this step (it's the one that got missed last time).

8

Confirm Shop Pay & place a test order

Shop Pay, Apple Pay, and Google Pay switch on automatically with Shopify Payments. Run a test order to confirm checkout and your first payout — and you're live.

THE BOTTOM LINE

Switching pays for itself many times over.

NET FIRST-YEAR IMPACT · AVERAGE SCENARIO

+\$334,400

+\$330,000 conversion lift @ 15%

+\$4,400 third-party fees waived

on \$2.2M online D2C GMV

Prepared for Union Los Angeles · Shopify Payments opportunity · by Nicole DeGennaro.

Figures are estimates built from the Union LA CRM shop profile (shop 510392, synced 2026-09-11): \$4.64M total GMV L365D, of which \$2.2M is online D2C GMV, \$1.66M retail, and \$0 B2B; \$283.69 average order value; D2C GMV up 31.43% YoY; Shopify Payments activated 2025-09-23 and deactivated 2025-10-29; Shop Pay and Shop Pay Installments not currently adopted; \$421.73K installments GMV through a third-party BNPL provider; POS Pro across 5 retail locations; 51.69K followers. Conversion-lift scenarios (7% / 15% / 25%) are illustrative and applied to online D2C GMV only, based on Shopify's published Shop Pay benchmark of up to 50% higher conversion vs guest checkout; retail and B2B are excluded from the checkout-conversion math. The third-party transaction fee of 0.2% (Plus) is applied to online D2C GMV. Actual results vary. Peer platform status is from public store-technology signals; Gymshark's scale is from Shopify's published enterprise materials.